Course: F514 Finance and Society

Prepared by: Shaira Katuwal

Topic: Case Study NIA Impact Capital

When analyzing businesses through a finance lens, assuming that all firms operate in efficient markets plays a key role. However, if we look at companies like Tesla and the way they handle their social risks, this assumption doesn't always hold. Often, there is a huge gap between what is disclosed in the 10-Ks and what is actually happening at the operational level. Some common examples from an accounting perspective include companies choosing to classify their investment securities as held-to-maturity (HTM) or available-for-sale (AFS) to manipulate their gains and losses. Gaps like this are what cause market inefficiency. When a company hides its legal problems, operational losses, or toxic culture through secret meetings, investors are forced to operate on incomplete information, and their financial decisions end up negatively impacting society.

To begin a discussion on the Tesla case, it is really important first to analyze the different ways in which people invest in businesses. Some investors, like myself, choose to take a **passive** stance, buying index funds and ETFs. These are already diversified portfolios; owning their shares saves investors from the hassle of tracking the market manually and changing their asset allocation based on macroeconomic conditions. This type of investment is cheap and easy; you are paying less attention to the daily operations of your investments, but continuing to own a portion of their shares. Neal and Cochran (2008) refer to these investors as an "absentee landlord".

Then there are **active investors** whose sole aim with investment is to try to "beat the market". They do so by picking up specific stocks that they believe are undervalued and looking for signals in the stock price fluctuations, choosing to actively buy or sell as price changes. When analyzing stock options, their main focus is on numbers like quarterly earnings, debt-to-equity ratios, and revenue growth. If the social aspect of the business is an issue, an active manager is more likely to sell and move on to another investment immediately.

Lastly, there are **shareholder activists**. They could be described as active investors with triple the engagement. The activists don't just buy stocks to actively trade on gains or losses, but they buy them to change the company. They are a firm believer that by changing or fixing the company's social and environmental mishaps, they can make their stocks/the company more valuable in the long run. One way to think about these investors is that they are a way of addressing what we identify as negative externalities.

Now, coming to the Tesla case, the reading describes a big fight between Kristin Hull of Nia Impact Capital and Tesla centered around **mandatory arbitration.** Mandatory arbitration refers to a contractual requirement where disputes are handled by a private arbitrator instead of a court. By agreeing to this contract, parties usually give up rights to jury trials and class actions. These provisions are very prominent in employment, business, and consumer contracts when companies need to defend a wrongful termination or product defect and want to stay out of the public court system. This has also led to many racial discrimination and sexual harassment cases within companies going unnoticed.

From a financial perspective, this is a clear example of **information asymmetry** where companies are hiding valuable information from the public so it doesn't hinder the public perception of their business. As a result, the market becomes inefficient in pricing the stocks and risks accurately. Reality came to the surface when a former employee of Tesla, Owen Diaz, decided to come forward to court to sue Tesla for racial harassment, eventually winning the jury trial (The Guardian, 2024). The fact that a single court case could cause millions in damage, followed by unfavorable publicity, shows why big companies would go to any extent to keep such cases a secret. We should really worry about how companies try to address these issues because actual human lives are being affected here, and not to mention the overall impact on market inefficiency.

In 2020, the activists, led by Kristin Hull, identified this problem within Tesla and decided it was time to take action. Her concerns were raised due to the allegations of racial discrimination and harassment, highlighting the forced arbitration clauses, but were enhanced by the noticeably weak board independence and concentration of power around the executive chair. Kristin Hull filed resolutions asking Tesla to report on the impact of its arbitration policies (Hull, 2021). Although Hull was protected by the SEC in her rights as an investor, she still faced many strategic dilemmas. Her approach included that of active ownership instead of exclusion, promoting intentional proxy voting and coalition-based engagement. As a shareholder, she had the right to vote on directors and proposals, engage with management, and coordinate with other investors. Her responsibilities as an activist investor included acting in good faith, basing claims on evidence, and being transparent about objectives. Her position didn’t allow her to follow the case just as a standalone against social injustice. She had to bring in solid arguments to support why implementing changes in this area was important in protecting the financial value of the investment. If she went after a specific leader, say Elon Musk, the **principal-agent problem** becomes more prominent, where the board members (agents) would most likely prioritize Musk’s interest over the actual shareholders (principals).

Diverzing our focus from this case to a reading that I found very correlated, Karnani (2010) argues that corporate social responsibility is often a “financial calculation”. This reinforces points raised in class discussions that companies do well in the eyes of society only if they can be monetized. The only way to embed social responsibility directly into an agent's duties in a company is through government regulations. A flip side of this argument is Porter and Kramer’s (2006) view on the same matter. They argue that a company’s success and society’s health are interlinked and hence a shared value. In our example, if Tesla treats its employees badly, it eventually loses social trust, customer loyalty, and talent acquisition, ultimately leading to unrepairable brand damage.

Hull's approach fits into both these arguments; the limitation is that the process takes too long to be implemented and justified. While she is waiting for annual meetings and resolution filings, the toxic culture at the factory will continue hurting the workers. Another huge advantage for Tesla is that of the **"halo effect"**. This is when a company is performing so well in one sector, say electric cars, the market fails to recognize or looks away from all the bad attributes of the same business (The Economist, 2015). Tesla has ridden its "green" halo for years, which allows its internal culture issues to go unnoticed for far too long. And to Karnani's point (2010), if a company has the option to choose between "social good" and "profit," it is highly likely to go with the latter unless the law forces it otherwise. One final argument is that, if Tesla decides to invest millions in fixing culture, that is how much it will be taking away from its R&D and net working capital. Again, a dilemma investors have to deal with.

Summing up and putting myself in the portfolio manager's position, yes, I would still invest in Tesla, but with a commitment to activism. Tesla does very well in addressing issues like climate risk through the energy transition, a market that we know is historically undervalued. While governance and labor risks are ongoing, ignoring the potential upside can be detrimental. My investment would make sense if it implied active engagement, hence the role of an activist.

Even if I don't get 50% of the vote on the resolution, the responsibility of an activist to consider long-term value would encourage me to stay. A prime example is when Nia Impact Capital finally won a major victory in 2024. After years of effort, losing votes in 2020 or 2021, they reached an agreement where Tesla's board finally agreed to include better human capital oversight disclosures in their official financial filings (Hull, 2021). This shows that by staying, you are keeping your seat at the table and playing to win in the long run.

In conclusion, the Nia Impact Capital case highlights both the promise and limits of shareholder activism. The ultimate goal of activism is to ensure that the ESG (Environmental, Social, and Governance) framework is meaningfully integrated into a firm's decisions. In a market where power is concentrated and externalities continue, we need more investors like Hull to push firms away from a "halo" toward accountability.

References

Karnani, A. (2010, August 23). *The case against corporate social responsibility*. *The Wall Street Journal.*

Neal, R., & Cochran, P. L. (2008). Corporate social responsibility, corporate governance, and financial performance: Lessons from finance. *Business Horizons, 51*(6), 535–540. https://doi.org/10.1016/j.bushor.2008.07.002

Porter, M. E., & Kramer, M. R. (2006). Strategy and society: The link between competitive advantage and corporate social responsibility. *Harvard Business Review, 84*(12), 78–92.

Hull, K. (2021). *Nia Impact Capital: Active Ownership for Social Justice* (Case No. IM1203). Harvard Business School Publishing.

The Economist. (2015, June 25). *Corporate social responsibility: The halo effect*. https://www.economist.com/business/2015/06/25/the-halo-effect

The Guardian. (2024, March 16). *Tesla settles with former employee over racial discrimination claims*. https://www.theguardian.com/technology/2024/mar/16/tesla-settles-racial-discrimination-claims